

MOD 3 – INCOME TAX

What Government Does with Our Tax

- **Health Care:** Funds government hospitals and medical services, often free or minimal cost.
- **Education:** Supports municipal and government schools with low fees.
- **National Defense:** Major expenditure for the country's security.
- **Infrastructure Development:** Roads, bridges, public transport, and utilities.
- **Welfare Schemes:** Employment programs, social welfare initiatives.
- **Administrative Costs:** Salaries and expenses for government employees and departments.

Government Spending on Judicial System and Welfare

- **Judicial System:** Salaries, perks, and administrative costs for judges, magistrates, and judicial staff.
- **PM-Kisan Scheme:** Direct financial support/subsidy to farmers.
- **Subsidized Cooking Gas:** Reduced price or subsidy for LPG cylinders.
- **Support to MSMEs & Small Businesses:** Subsidies and financial aid.
- **Citizen Responsibility:** Paying taxes enables the government to perform these duties effectively.

Synonyms for “Levy”: Imposition, collection, charge, assessment, taxation, exaction

Definitions:

- **Tax:** Payment made to the government without any direct return.
- **Duty:** Levy on goods.
- **Cess:** Tax levied for a specific purpose.
- **Surcharge:** Additional tax on those whose income exceeds a specified limit.
- **Income Tax:** Tax on income earned.
- **Levy:** The act of charging or imposing a tax.

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Duty:

- A tax on goods (physical commodities) at the border, either on import or export.
 - **Excise Duty:** Levied on goods manufactured within the country.
 - **Customs Duty:** Levied on goods imported from a foreign country.
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Duty is a levy on goods

Pay the tax first and then take the goods (prior payment).

Eg: Excise duty, Custom duty.

Tax is levied on other than goods (no prior payment).

Eg: Income tax, Sales tax, Service tax.

Surcharge

This is an additional burden to the tax being already levied.

Generally, surcharge is levied for a certain period of time.

For instance, the surcharge being levied on super rich in India.

At present surcharge is levied-

@10% if total income exceeds Rs 50 lakhs

@15% if total income exceeds Rs 1 Crore

Cess:

- A tax on tax, levied for a specific purpose.
 - Temporary in nature, usually until the targeted fund is collected.
 - **Example:** Education Cess @3% to finance basic education.
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Why Taxes are Levied:

- Taxes are the basic source of government revenue.
- Revenue is used for:
 - Defence
 - Education
 - Healthcare
 - Infrastructure (roads, dams, streetlights, drainage, etc.)
- The process of imposing taxes is called **Taxation**.

Key Points:

- Taxes must be paid by individuals or corporations regardless of direct return from the government.
 - Taxes can be on **income** or **wealth**.
 - Tax rates may vary.
 - **Taxation** refers to the system of imposing taxes, including both **direct** and **indirect** taxes.
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Income Tax – Key Points:

- Government levy on **annual income**.
 - Calculated as per **slabs and rules**.
 - Governed by **Income Tax Act, 1961**.
 - Taxpayers: **Individuals, Companies, Firms, HUFs, etc.**
 - **Annual tax return filing** is mandatory above a certain income threshold.
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History of Income Tax in India – Key Points:

- **1860**: Introduced by **Sir James Wilson** after the 1857 Military Mutiny to recover government losses.

- **1918:** New Income Tax Act passed.
- **1922:** Another Income Tax Act replaced the 1918 Act; remained in force until **1961-62** with amendments.
- **1961: Income Tax Act, 1961** enacted in consultation with Ministry of Law.
- **1 April 1962:** Act brought into force.
- Since 1962, **annual amendments** are made through the Union Budget.

Income Tax Act, 1961 – Key Points:

- **Effective Date:** 1 April 1962
 - **Scope:** Applies to all persons earning income in India – residents, non-residents, individuals, companies, etc.
 - **Purpose:** Levy, collection, administration, and recovery of income tax; supports economic development, price stability, and wealth equality.
 - **Key Provisions:**
 - Defines **tax rates (slabs)**, **taxable income**, and **types of income** (salary, property, business, capital gains, others)
 - Allows **deductions** (e.g., 80C, 80D), **exemptions**, and **rebates**
 - Mandates procedures for **assessment, TDS, audits, appeals, penalties**
 - **Structure:** 298 sections, 23 chapters, amended annually
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Income Tax Bill, 2025 – Key Points:

- **Purpose:** Replacement of IT Act, 1961 with a simpler, transparent, and accessible law
- **Effective Date:** Proposed from 1 April 2026

Key Objectives:

- **Simplification:** Clearer language, restructured sections for easier compliance
- **Modernization:** “Assessment Year” replaced by “Tax Year” (income period alignment)
- **Digital Governance:** Strengthened faceless assessment and digital processing
- **Transparency:** Consolidated provisions, tabular formats for clarity

Why Change Was Needed:

- 1961 Act had 300+ amendments, complex legalese, outdated for digital economy

What's New:

- Tax Year replaces Financial & Assessment Year
- Simplified, compact framework
- Digitally optimized administration, broader definitions (e.g., digital assets)
- Focus on taxpayer services and reduced administrative ambiguity

Status (Aug 2025):

- Passed by Lok Sabha Select Committee, pending final approval
 - Expected enactment from April 2026
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Digressive Taxation:

- **Definition:** Tax rate increases with income up to a point, then a uniform rate is applied
 - **Characteristics:**
 - Rate of tax progression slows after a certain income level
 - Combination of **progressive** and **proportional** taxation
 - **Example:** Income tax in India follows digressive taxation
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Income means some monetary returns periodically received from some definite sources. It is an earning or continuing income from the business or from a definite source.

It includes - Income in cash, Income in kind, Gifts

Assessee:

- **Definition:** A person liable to pay tax or any other sum under the Act
 - **Includes:**
 1. Person assessable for income or loss of another person
 2. Person deemed to be an assessee
 3. Person deemed to be an assessee in default
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Income Tax Liability of a Person

- **Residential Status:** Determines income tax liability
- **Previous Year:** Year in which income is earned
- **Assessment Year (AY):** Year in which income is taxed (12 months starting 1st April after previous year)

Assessment:

- Process of determining correctness of income and tax payable

Total Income and Tax Payable:

1. Determine residential status
2. Classify income under different heads
3. Exclude income not chargeable to tax
4. Compute income under each head
5. Club income of spouse, minor child, etc.
6. Set-off or carry forward losses
7. Compute Gross Total Income
8. Apply deductions from Gross Total Income
9. Compute Total Income
10. Apply tax rates on total income
11. Add surcharge
12. Add education cess & secondary and higher education cess
13. Account for advance tax & TDS

Heads of Income:

1. **Salary** – Wages, allowances, pensions, perquisites
 2. **House Property** – Rental income minus deductions
 3. **Business/Profession** – Profits after expenses
 4. **Capital Gains** – Profit from transfer of assets
 5. **Other Sources** – Dividends, lottery, interest
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Computation of Total Income

1. **Gross Total Income (GTI)**: Sum of all 5 heads of income
 2. **Adjust for Clubbing Provisions**: As per Sec. 60–64
 3. **Set-off & Carry Forward of Losses**
 4. **Deductions**: Under Sections 80C–80U
 5. **Total Income** → Apply tax rates + applicable cess = **Tax Liability**
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ITR (Income Tax Return)

- **Definition**: Official form to report annual income, tax deductions, and taxes paid. Mandatory if income exceeds exemption limit or in specified cases.
- **Filing Period**: For FY 2024-25 → AY 2025-26 (April 1, 2025 – March 31, 2026)

Who Must File ITR:

1. Individuals/HUF with total income above basic exemption limit:
 - **Old regime**: ₹2,50,000 (<60 yrs), ₹3,00,000 (60–80 yrs), ₹5,00,000 (>80 yrs)
 - **New regime**: ₹3,00,000 for all ages
2. Anyone with income from salary, business, capital gains, house property, or other sources
3. Mandatory even if below threshold in cases like:
 - Savings account deposits > ₹50 lakh or current account > ₹1 crore

- Business receipts > ₹60 lakh or professional income > ₹10 lakh
- Electricity bills > ₹1 lakh
- Holding foreign assets/accounts
- TDS/TCS above limits
- Foreign travel spending > ₹2 lakh

Updated Income Tax Slabs – New Tax Regime (FY 2025-26 / AY 2026-27)

- **Slabs:** New regime offers lower rates but removes most exemptions/deductions.
- **Rebate (Sec 87A):** Up to ₹12 lakh taxable income → may make income up to ₹12 lakh effectively tax-free.
- **Option:** Taxpayers can choose old regime with classic exemptions/deductions.
- **Cess:** Health & Education cess 4% on computed tax.
- **Effective From:** Finance Act 2024, applicable FY 2025-26 / AY 2026-27.

Income Range (₹)	Tax Rate
Up to 4,00,000	Nil
4,00,001 to 8,00,000	5%
8,00,001 to 12,00,000	10%
12,00,001 to 16,00,000	15%
16,00,001 to 20,00,000	20%
20,00,001 to 24,00,000	25%
Above 24,00,000	30%

Standard Deduction (FY 2024-25)

- Fixed deduction for salaried individuals & pensioners.
- **Purpose:** Replaces transport & medical allowances; simplifies tax filing.
- **Limits:** ₹75,000 (New Regime), ₹50,000 (Old Regime)

Marginal Relief (FY 2025-26, New Regime)

- Prevents sharp tax jump if income slightly exceeds ₹12 lakh (Section 87A limit).

- Ensures extra tax $\leq$ extra income over ₹12 lakh.
- Relief applies roughly up to ₹12,75,000–₹12,70,588.

Calculation Steps:

1. Compute tax as per slabs (including cess).
2. Find excess income above ₹12 lakh.
3. Marginal Relief = Tax without relief – Excess income.
4. Final Tax = Tax without relief – Marginal Relief + 4% Health & Education Cess.

Example (Marginal Relief Calculation)

- **Income:** ₹12,10,000
 - **Tax without marginal relief:** ₹61,500
 - **Excess income over ₹12 lakh:** ₹10,000
 - **Marginal Relief:** ₹61,500 – ₹10,000 = ₹51,500
 - **Final Tax Payable:** ₹61,500 – ₹51,500 = ₹10,000
 - **Add 4% Health & Education Cess:** ₹10,000 $\times$ 4% = ₹400
 - **Total Tax:** ₹10,400
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Heads of Income – Five Heads (Section 14, IT Act 1961)

1. Income from Salary (Section 15–17)

- Includes: salary, wages, commission, bonus, pension, perquisites, gratuity, arrears.
- **Deductions (Section 16):**
 - **Standard Deduction:** ₹75,000 (New Regime), ₹50,000 (Old Regime)
 - **Entertainment Allowance:** Only for govt employees, least of: actual received, 20% of basic, ₹5,000
 - **Professional Tax:** Deductible if paid

2. Income from House Property

- Rental income or imputed rent from owned property

3. Profits & Gains from Business or Profession

- Earnings from business, services, freelancing, or professional practice

4. Capital Gains

- Profit from transfer of assets (land, building, shares, mutual funds, bonds, gold)
- Classified as Short-term or Long-term

5. Income from Other Sources

- Residual income: interest, dividends, lottery winnings, gifts, miscellaneous income

Key Points:

- **Deductions** reduce taxable income.
 - **Exemptions (Section 10)** exclude specific income from taxation.
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Salary

- **TDS (Tax Deducted at Source):** Tax calculated on salary is deducted by employer before crediting salary to employee account.
- **Gross Salary:** Total salary before deductions = Basic Salary + HRA + Bonus + Allowances
- **In-hand / Take-Home Salary:** Salary received after deductions.

Formula:

Net Salary = Basic Salary + Allowances – (Provident Fund + Gratuity + TDS + Professional Tax)

Income Range	Tax Rate	
0 - ₹3,00,000	0%	NIL
₹3,00,001 - ₹7,00,000	5% <i>(tax rebate u/s 87A upto 7 lacs)</i>	5% on income which exceeds Rs 3,00,000 (Rs 20,000/-) <i>(tax rebate u/s 87A upto 7 lacs)</i>
₹7,00,001 - ₹10,00,000	10%	Rs. 20,000 + 10% on income more than Rs 7,00,000 (Rs 50,000/-)
₹10,00,001 - ₹12,00,000	15%	Rs. 50,000 + 15% on income more than Rs 10,00,000 (Rs 80,000/-)
₹12,00,001 - ₹15,00,000	20%	Rs. 80,000 + 20% on income more than Rs 12,00,000 (Rs 1,40,000/-)
Above ₹15,00,000	30%	Rs. 1,40,000 + 30% on income more than Rs 15,00,000
Cess	4% p.a. of Taxable Income	

Surcharge

- **Definition:** Additional tax on income tax payable when net taxable income exceeds a specified limit.
- **Applicability:** For individuals, if taxable income > ₹50 lakh.
- **Computation:** Charged on **income tax payable** before cess.
- **Exception:** Income from capital gains on equity shares/mutual funds or dividends → surcharge ≤ 15%.
- **Marginal Relief:** Ensures surcharge does not exceed the extra income above the limit.

Example:

- Net taxable income = ₹51 lakh
- Tax without surcharge = ₹13,42,500
- Surcharge @10% = ₹1,34,250
- Excess income over ₹50 lakh = ₹1,00,000 → final surcharge adjusted via marginal relief.

Income from Salary – Exemption vs Deduction

- **Exemption:** Income **not included** in taxable income (Section 10).
- **Deduction:** Income **included first**, then reduced by allowable amount (Sections 80C–80U).

Section 10(5) – Leave Travel Allowance (LTA):

- Exempt for travel expenses for employee and family, **twice in a block of 4 years** (current block 2018–2022).
 - **Exemption limits:**
 - **Air:** Economy class fare of national carrier (Air India) or actual spent, whichever is less.
 - **Rail:** AC First class fare by shortest route or actual spent, whichever is less.
 - **Other transport if rail exists:** AC First class fare by shortest route or actual spent, whichever is less.
 - **No recognized transport:** AC First class rail fare by shortest route or actual spent, whichever is less.
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Clubbing Provisions – Section 64

- **Definition:** Including income of another person (usually family) in your **Gross Total Income** to prevent tax avoidance.
 - **Purpose:** Stops taxpayers from diverting income/assets to relatives to reduce tax liability.
 - **When Applicable:**
 - Fixed deposits in children's name.
 - Assets earning income in spouse/child name.
 - Saving bank accounts for dependents.
 - Mutual funds or shares in child/spouse name.
 - Post office savings in family member's name.
 - **Key Point:** Even if ownership/transfer of asset is done to a dependent, **income continues to be taxed in the original owner's hands.**
 - **Example:** Buying a flat in a family member's name and rent is earned → rent is taxable in purchaser's income.
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Set Off and Carry Forward of Losses

Intra-head Set Off

- **Definition:** Losses from one source of income within the same head can be set off against profits from another source under the same head.
 - **Example:** Loss from Business A can be set off against profit from Business B (both are under the “Business” head).
- **Exceptions:**
 1. **Speculative Business Loss** can only be set off against speculative profits.
 2. **Race-horse Income Losses** can only be set off against profits from race-horse activities.
 3. **Long-term Capital Loss** can only be set off against **Long-term Capital Gains**.
 4. **Short-term Capital Loss** can be set off against **both** short-term and long-term capital gains.
 5. Losses from a **Specified Business** can only be set off against profits from **specified businesses**.

Inter-head Set Off

- After intra-head set off, remaining losses can be set off against income from **other heads**.
 - **Example:** Loss from House Property can be set off against salary income.
- **Examples of Inter-head Set Off:**
 1. **Loss from House Property** can be set off against income from any other head.
 2. **Business loss** (except speculative) can be set off against income from any head **except salary**.
- **Losses that cannot be set off:**
 1. Speculative Business loss
 2. Specified Business loss
 3. **Capital Losses**
 4. Losses from **Owning Race-horses**

Carry Forward of Losses

- **Unadjusted losses** after intra-head and inter-head set offs can be **carried forward** to future years.

- **Rules for Carry Forward:**
 - The carry-forward period for **business losses** is 8 years.
 - **Capital losses** can be carried forward for 8 years to be adjusted only against **capital gains**.



Rules to Set off and Carry Forward Losses

Nature of Loss	No. of Years	Set off in Future against
House Property Loss	8 Years	House Property Income
Speculative Business Loss	4 Years	Speculative Business Income
Non-Speculative Business Loss	8 Years	Non-Speculative Business Income or Speculative Business Income
LTCL	8 Years	LTCG
STCL	8 Years	STCG / LTCG
Horse Race Loss	4 Years	Race Horse Income
Specified Business Loss u/s 35AD	Indefinite Period	Specified Business Income u/s 35AD
Other Sources Loss	cannot be carried forward	Not Applicable

TDS (Tax Deducted at Source)

1. What is TDS?

- Tax deducted at the source of income by the deductor.
- Deductee can claim the deducted amount when filing ITR.

2. How to Pay TDS?

- **E-payment:** Mandatory for corporates and high-income individuals via NSDL.
- **Physical payment:** Using **Challan 281** at authorized bank branches.

3. TDS Rates

- Based on the nature of payment (salary, interest, etc.) as specified in the Income Tax Act.

TCS (Tax Collected at Source)

1. What is TCS?

- Tax collected by the seller at the time of sale of goods and remitted to the government.

2. Who is a Seller for TCS?

- Seller can be:
 - Central/State Government, Statutory Corporations, Companies, HUF, Partnership Firms, etc.

3. Who is a Buyer for TCS?

- Buyer is any individual receiving goods, except:
 - Public Sector Entities, Government, Diplomatic Missions, Clubs, etc.

4. How TCS Works

- Seller collects tax from the buyer and remits it to the government. Buyer can claim TCS while filing ITR.

Advance Tax

1. Who should pay?

- Any person whose **estimated tax liability** $\geq$ **₹10,000** in a financial year.
- **Exemption:** Senior citizens (≥ 60 years) **without business/professional income**.

2. Due Dates for Payment (Individuals / Corporate)

Period	% of Advance Tax Due
15 June	15% of estimated tax
15 September	45% of estimated tax (cumulative)
15 December	75% of estimated tax (cumulative)
15 March	100% of estimated tax

3. Purpose:

- Ensures regular collection of tax and reduces the burden at the end of the year.

Question 1) A salaried individual's annual income (from salary only) increases from ₹12, 50, 000 to ₹13,50, 000. Calculate the total income tax payable under the FY 2024-25/assessment year 2025-26 considering new income tax regime in both the cases. Comment on the marginal relief.

Income Range (₹)	Tax Rate
Up to 4,00,000	Nil
4,00,001 to 8,00,000	5%
8,00,001 to 12,00,000	10%
12,00,001 to 16,00,000	15%
16,00,001 to 20,00,000	20%
20,00,001 to 24,00,000	25%
Above 24,00,000	30%

Case 1: When income = ₹12, 50, 000

1. Gross salary = ₹12,50,000

2. Standard deduction = ₹75,000

⇒ Taxable income = 12,50,000 – 75,000 = ₹11,75,000

3. Since ₹11,75,000 ≤ ₹12,75,000

he qualifies for full rebate under Section 87A, so tax = 0

So at ₹12, 50, 000 income, the total tax under new regime = ₹0.

Case 2: Tax Calculation for ₹13,50,000 Income

1. **Gross Salary** = ₹13,50,000
2. **Standard Deduction** = ₹75,000
 - **Taxable Income** = ₹13,50,000 – ₹75,000 = ₹12,75,000
3. **Rebate under Section 87A:**
 - Rebate is not fully available because taxable income exceeds ₹12,00,000.
4. **Tax Computation as per Slabs:**
 - **On first ₹4,00,000** (₹0 to ₹4,00,000): 0% → ₹0
 - **On next ₹4,00,000** (₹4,00,001 to ₹8,00,000): 5% of ₹4,00,000 → ₹20,000
 - **On next ₹4,00,000** (₹8,00,001 to ₹12,00,000): 10% of ₹4,00,000 → ₹40,000
 - **On remaining ₹75,000** (₹12,00,001 to ₹12,75,000): 15% of ₹75,000 → ₹11,250

Total Tax Before Cess = ₹20,000 + ₹40,000 + ₹11,250 = ₹71,250

5. **Health & Education Cess (4%):**
 - 4% of ₹71,250 = ₹2,850
6. **Total Tax Liability** = ₹71,250 + ₹2,850 = ₹74,100
7. Check for marginal relief
8. Now, check if the excess tax exceeds the excess income (over ₹12.75 lakhs):
9. • Excess income = ₹75,000
10. • Excess tax = ₹74,100 – ₹0 (since at ₹12 lakh tax = 0) = ₹74,100
11. Here, excess tax (₹74,100) is slightly less than excess income (₹75,000).
12. Hence, marginal relief is not applicable.

Question 2) A salaried individual's annual income (from salary only) increases from ₹49,50,000 to ₹51,50,000. Calculate the total income tax payable under the FY 2024-

25/assessment year 2025-26 considering new income tax regime in both the cases.
Also comment on marginal stability and surcharge.

Solution:

Taxable income

1. Old income: ₹49,50,000
 - o Standard deduction: ₹75,000
 - o Taxable income = $49,50,000 - 75,000 = 48,75,000$
2. New income: ₹51,50,000
 - o Standard deduction: ₹75,000
 - o Taxable income = $51,50,000 - 75,000 = 50,75,000$

Compute tax on old income (₹48,75,000)

Slab-wise tax:

Slab (₹)	Rate	Tax (₹)
0–4,00,000	0%	0
4,00,001–8,00,000	5%	20,000
8,00,001–12,00,000	10%	40,000
12,00,001–16,00,000	15%	60,000
16,00,001–20,00,000	20%	80,000
20,00,001–24,00,000	25%	1,00,000
24,00,001–48,75,000	30%	$24,75,000 \times 30\% = 7,42,500$

Subtotal Tax = $0 + 20,000 + 40,000 + 60,000 + 80,000 + 1,00,000 + 7,42,500 = ₹9,42,500$

2. Surcharge: Income $< 50,00,001 \rightarrow$ No surcharge

3. Cess: $4\% \times 9,42,500 \approx ₹37,700$

Total Tax on ₹48,75,000 = $9,42,500 + 37,700 \approx ₹9,80,200$

Compute tax on old income (₹50,75,000)

Slab-wise tax

Slab (₹)	Rate	Tax (₹)
0–4,00,000	0%	0
4,00,001–8,00,000	5%	20,000
8,00,001–12,00,000	10%	40,000
12,00,001–16,00,000	15%	60,000
16,00,001–20,00,000	20%	80,000
20,00,001–24,00,000	25%	1,00,000
24,00,001–50,75,000	30%	26,75,000 × 30% = 8,02,500

Subtotal Tax = 0 + 20,000 + 40,000 + 60,000 + 80,000 + 1,00,000 + 8,02,500 = ₹10,02,500

1. Surcharge: Surcharge: Income > 50,00,000 → 10%

• 10% × 10,02,500 = ₹1,00,250

2. Tax after surcharge = 10,02,500 + 1,00,250 = 11,02,750

3. Cess: 4% × 11,02,750 ≈ ₹44,110

Total Tax on ₹50,75,000 = 11,02,750 + 44,110 ≈ ₹11,46,860

Tax increase due to ₹2,00,000 income rise = 11,46,860 – 9,80,200 = 1,66,660

• Additional income = ₹2,00,000

Since increase in tax is less than additional income, no marginal relief will be given.